Unit 4. Internal Analysis

CONTENTS

4.1. A firm’s internal diagnosis

4.2. The value chain

4.3. Analysis of resources and capabilities

4.4. SWOT analysis

©, Martín de Castro (2025)

Unit 4. Internal Analysis

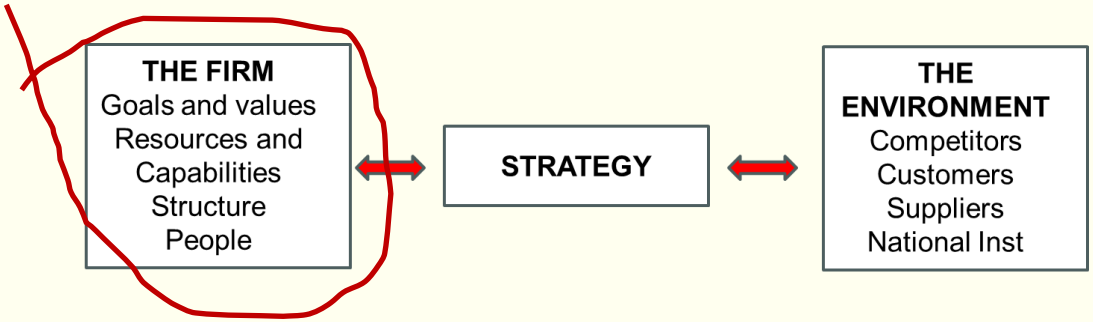
LEARNING OBJECTIVES

1. To make a strategic diagnosis of a certain company
2. To understand the internal sources of firm's sustained competitiveness
3. To strategically analyse a firm's resources and capabilities
4. To have a picture of the main external opportunities and threats, and internal strengths and weaknesses to formulate strategic decisions

© Martín de Castro (2025)

4.1. A firm's internal diagnosis

Understanding the internal sources of competitivess…



Tools & Models

1. Firm's identity and strategic profile
2. The value chain
3. Resources and capabilities

© Martín de Castro (2025)

4.1. A firm's internal diagnosis

A firm's identity: Nature, Key Variables

Age

Start-up

Growing

Well-stablished

Scope

Horizontally: Specialized, Diversified

Vertically: (Des)Integrated vertically

Geographically: Local, Domestic, Internationalized, MNC

Size

Micro

Small

Medium-sized

Large

Owernship

Private

Public

Hybrid

Family-owned

Activity

Manufacturing

Services

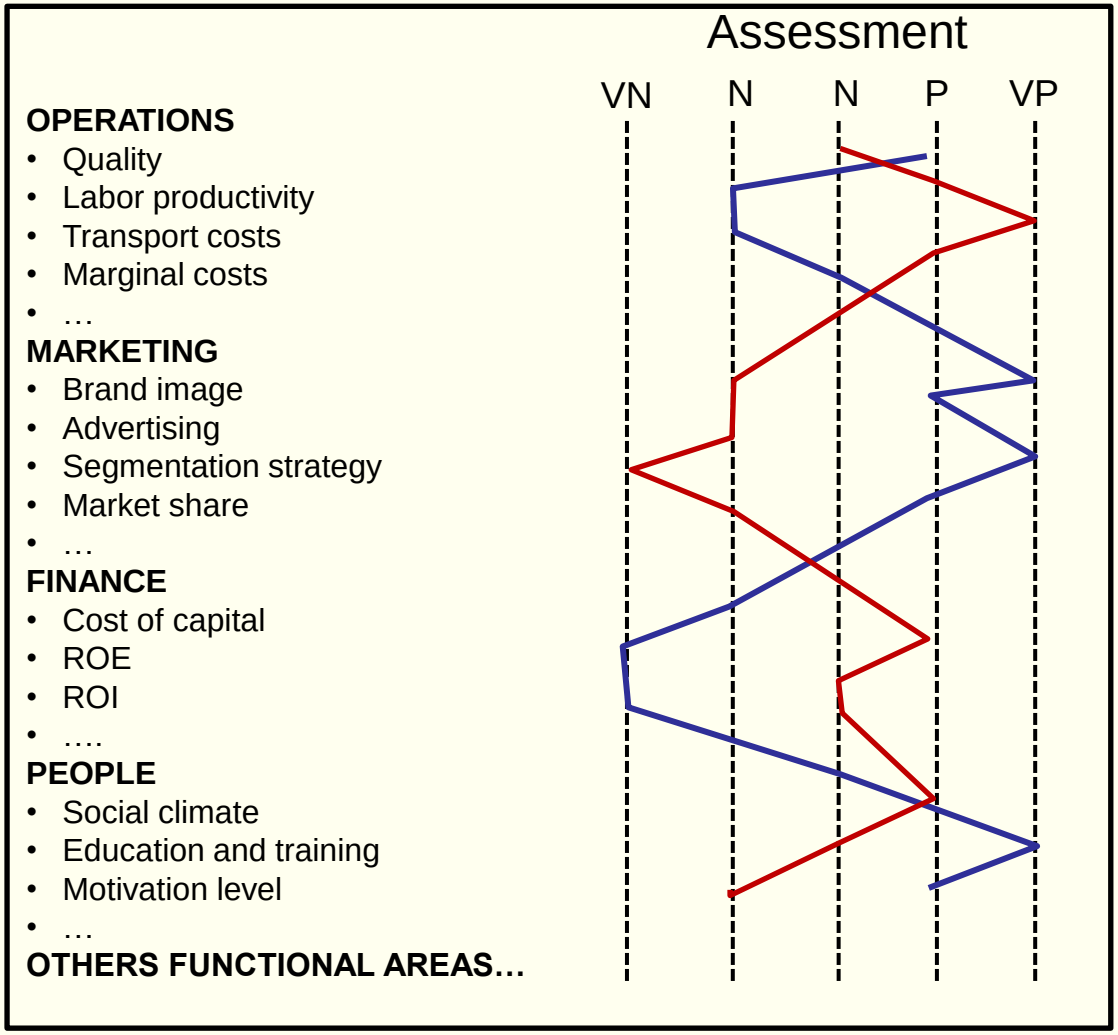
Agriculture

Extractive

© Martín de Castro (2025)

4.1. A firm's internal diagnosis

Strategic Profile



Main Rival/ Industry Average/ The past…

ADVANTAGES:

- Simple
- Intuitive

DISADVANTAGES:

- Subjectivity
- Lack of comparison

© Martín de Castro (2025)

4.2. The Value Chain

Michael Porter's Value Chain

AIM

Identify STRENGHTS & WEAKNESSES

- Sources of SCA
- Oursourcing / Core Competences

VALUE CHAIN

A firm's breakdown into key operations and activities necessary to produce a good / deliver a service.

- Primary activities
- Supporting activities

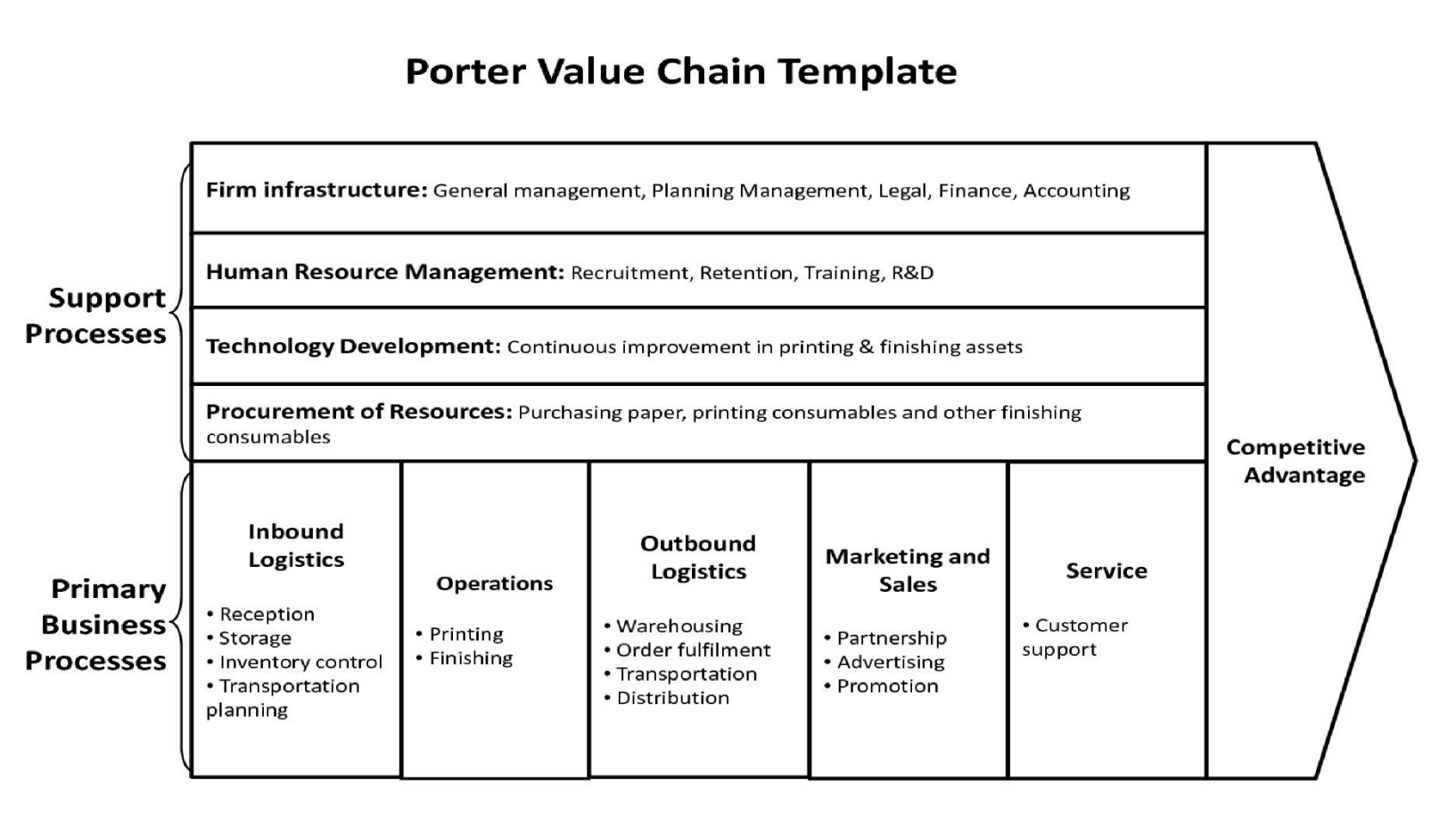
VALUE SYSTEM

Includes the value chains of suppliers and customers of the whole system

© Martín de Castro (2025)

4.2. The Value Chain

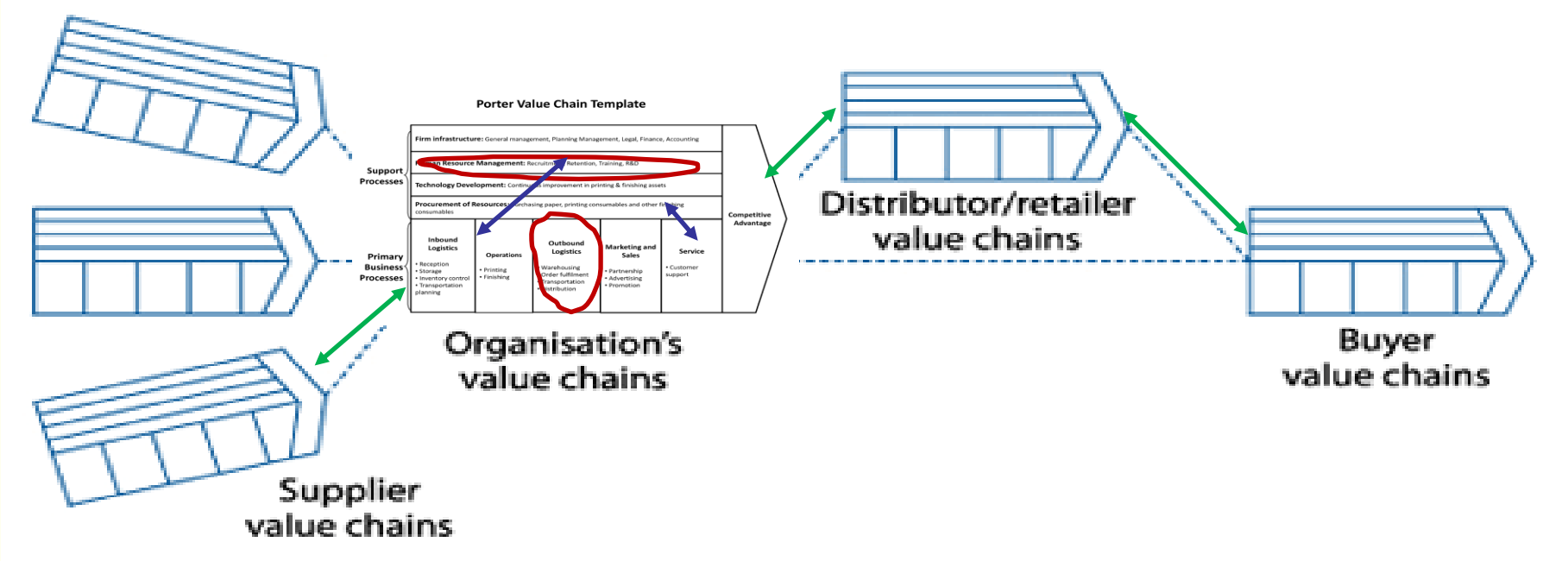
Michael Porter's Value Chain (1985)



© Martín de Castro (2025)

4.2. The Value Chain

Sources of Competitive Advantage



- Primary activities; Supporting Activities (by themselves)

Coordination

- Horizontal links (inside the company's value chain)
- Vertical links (among the company and its suppliers/buyers)

Optimization

© Martín de Castro (2025)

Exhibit 4.1.

VERTICAL LINKS IN FORD Factory (Valencia, Spain)

Ford's Spanish Factory in Almussafes (Valencia). Since 1976

© Martín de Castro (2025)

Illustration 4.1

Mercadona Value Chain and System

MERCADONA
SUPERMERCADOS DE CONFIANZA

Analyse the Mercadona value chain and system and provide examples of:

- Value Creation in Primary & Supporting activities
- Horizontal links (1 coordination; 1 optimization)
- Vertical links (1 coordination, 1 optimization)

© Martín de Castro (2025)

4.3. The Analysis of Resources and Capabilties

EXPLORING THE INTERNAL SOURCES OF S.C.A.

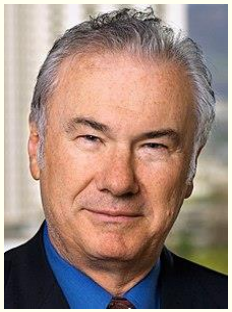
“Resource-Based View” as the current paradigm in Strategic Management:

- Key premises
- Resources, capabilities concepts
- Strategic Analysis of resources and capabilities

AIM: Discovering and assessing internal Strengths (Strategic Reso/Capab)

Jay B. Barney

Robert Grant



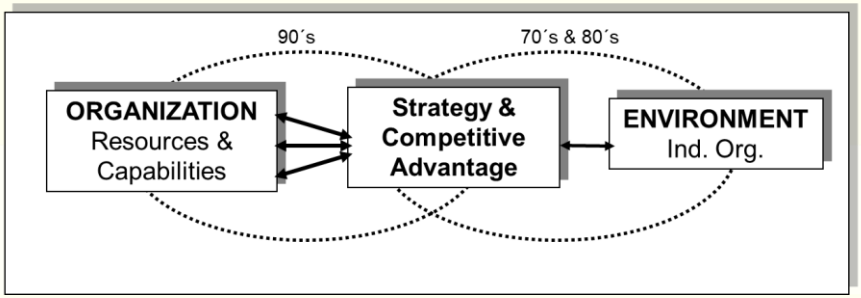
David Teece

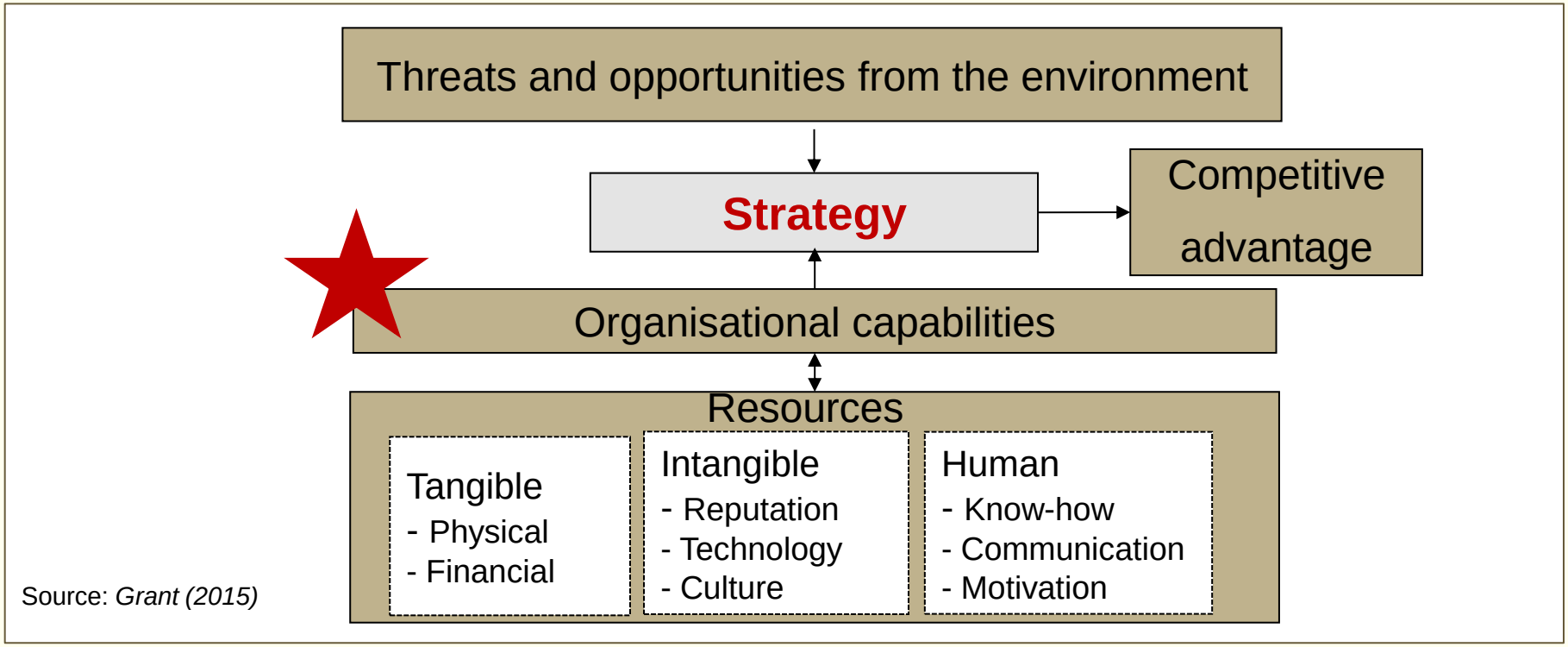
Ikujiro Nonaka

© Martín de Castro (2025)

4.3. The Analysis of Resources and Capabilties

RESOURCES, CAPABILITIES, INDUSTRY AND S.C.A.





Source: *Grant (2015)*

© Martín de Castro (2025)

4.3. The Analysis of Resources and Capabilties

The Resource-Based View

KEY PREMISES

1. Firm heterogeneity
2. Imperfect mobility of resources and capabilities

STEPS

1. Provision of R&C (Identification and measurement)
2. Their role in generating and sustaining competitive advantage (strategic evaluation)
3. Strategy (Corporate & Business) formulation (R&C improvement/exploitation)

© Martín de Castro (2025)

4.3. The Analysis of Resources and Capabilties

Resources and Capabilities: Concept & Measurement

RESOURCES

Individual organizational factors / assets a firm controls or possesses

- INTANGIBLE
  - Non-Human-Based
    - Technological
    - Organizational
  - Human-Based
- TANGIBLE
  - Financial
  - Material

© Martín de Castro (2025)

4.3. The Analysis of Resources and Capabilties

Resources and Capabilities: Concept & Measurement

CAPABILITIES

- A suitable combination and coordination of the individual resources available (Guerras & Navas, 2020)
- **Core/Distinctive Competences**: relating it to the possibility of performing them better than firm's competitors
- **Organizational Routines**: regular and predictable models/patters of activities

Functional
(performing activities)

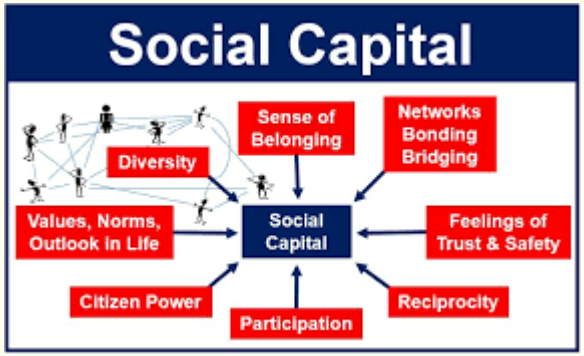
Cultural
(Ways to integrate)

Dynamic

© Martín de Castro (2025)

Illustration 4.2

Critical Thinking



Discuss why "Intangible Resources" and "Capabilities" would be the main sources of a Sustained Competitive Advantage

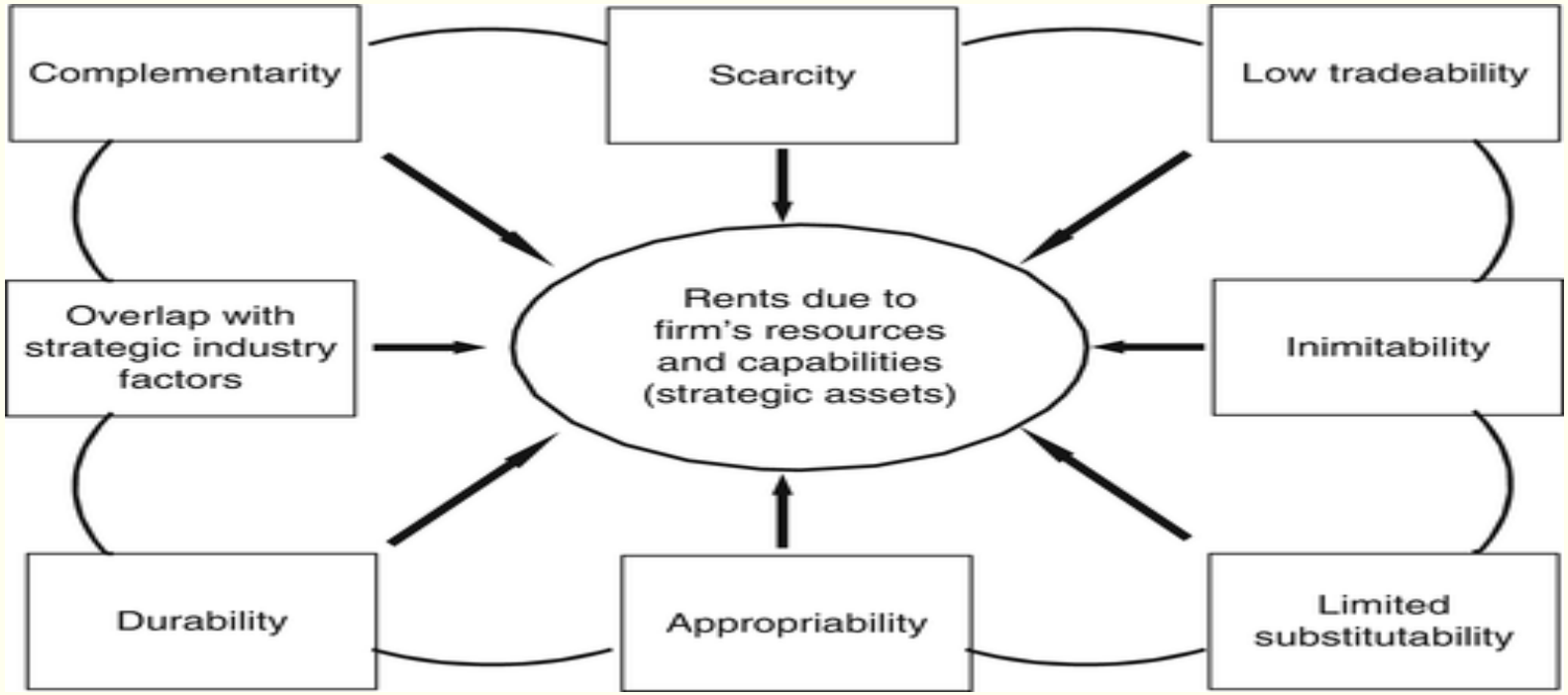
© Martín de Castro (2025)

4.3. The Analysis of Resources and Capabilties

Strategic Analysis of Resources & Capabilities

NOT ALL R&C are sources of SCA → **Strategic Analysis**

1. **Generating** Competitive Advantage
2. **Sustaining** Competitive Advantage
3. **Rent Appropiation**



Source: *Amit & Schoemaker (1993)*

© Martín de Castro (2025)

4.3. The Analysis of Resources and Capabilties

Strategic Analysis of Resources & Capabilities

Strategic Analysis

1. **Generating** Competitive Advantage

SCARCITY

- When it is not available to "many" competitors
  - What means "many" (1, 2, 3 …)
  - Heterogeneity…

RELEVANCE (Overlap with strategic industry factors)

- Expediency for competing in a certain industry /time
- Highly related to key industry factors

© Martín de Castro (2025)

4.3. The Analysis of Resources and Capabilties

Strategic Analysis of Resources & Capabilities

Strategic Analysis

2. Sustaining Competitive Advantage

DURABILITY

- To maintain the potential for generating a competitive advantage over time

LOW TRADEABILITY

- Limited transferability of R&C among firms

INIMITABILITY

- Limited competitor's capability to replicate a firm's R&C

LIMITED SUBSTITUTABILITY

- Limited competitor's capability to seek alternative R&C providing the same service in similar conditions

COMPLEMENTARITY

- The value of R&C is higher when their joint value exceeds the sum of their individual parts

© Martín de Castro (2025)

4.3. The Analysis of Resources and Capabilties

Strategic Analysis of Resources & Capabilities

Strategic Analysis | **3. Rent Appropriation**

APPROPRIABILITY

- The control rights over the R&C that are a source of competitive advantage and their resulting rents

TANGIBLE →
- Well-defined and Easy Appropriation

INTANGIBLE →
- Medium-defined and Moderate Appropriation

OTHER INTANGIBLE →
- Undefined and Hard Appropriation

© Martín de Castro (2025)

Illustration 4.3

Strategic Analysis of R&C in Inditex

Identify, measure, and strategic analysis of: 2 resources (tangible & intangible) and a key capability in INDITEX

© Martín de Castro (2025)

4.3. The Analysis of Resources and Capabilties

Managing Resources and Capabilities (Guerras & Navas, 2020)

RBV as the current paradigm in Strategic Management

Improving the Provision of R&C

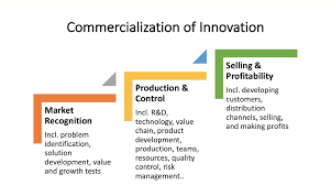
- External Acquisition

- Internal Development

Exploiting R&C

- Internal Exploitation
  - Corporate & Business

- External Exploitation



© Martín de Castro (2025)

4.4. SWOT analysis

SWOT

Resumes external (Opportunities & Threats) and internal (Strengths & Weaknesses) analyses

STRENGHTS	MAINTAINING
WEAKNESSES	CORRECTING
OPPORTUNITIES	EXPLOITING
THREATS	AVOIDING

Advantages

- ✓ Popular & Standard
- ✓ Overall view
- ✓ Simple

Disadvantages

- ✓ Static
- ✓ Lack of integration
- ✓ No strategy formulation receipt

© Martín de Castro (2025)